

Roger Lowenstein's 1995 book, *Buffett: The Making of an American Capitalist*, states that 'Buffett's style of investing was "perfectly learnable". However, there is a duality there. Part of the duality was that people confused "simplicity" with "ease". Buffett's methodology was straightforward, and in that sense "simple". It was not simple in the sense of being easy to execute. Valuing companies such as Coca-Cola (Berkshire Hathaway's largest investment in the late 1980s) took a wisdom forged by years of experience; even then, there was a highly subjective element. Most of what Buffett did, such as reading reports and trade journals, the small investor could also do. He felt very deeply that the common wisdom was dead wrong; the little guy **could**³ invest in the market, so long as he stuck to his Graham-and-Dodd knitting. But many people had a perverse need to make it complicated.'

Akash Prakash, founder and CEO of Amansa Capital, a Singapore-based foreign institutional investor which focuses on investing in India, explained his philosophy in Saurabh's first book, *Gurus of Chaos* (2014), as, 'Our view has always been that we need to invest in companies where we can trust in the people who are running the company. Trust, in turn, is driven by capital allocation. Where you get shafted by entrepreneurs, other than through theft and bad accounting by crooks, is capital allocation. In an environment like India, where you always have so many "perceived good opportunities", if you invest in poor capital allocators, you will never get a return. Secondly, our firm belief is that good management teams create optionality for you . . . in an environment like India, smart managers can create a lot of wealth. Therefore, even more important than the "buy" decision is how long you let that position run. At Morgan Stanley, at its peak, we owned 14 per cent of Infosys, and I was responsible largely for that position. I don't think we deserve great credit for buying Infosys. What's creditworthy is that we held on to it for so long. Unless a stock reaches an absurd valuation or if something fundamental has changed in the business environment for that company or something critical has changed in the company's growth outlook, we prefer not to sell stocks that we own. Our view is that there are a limited number of companies in India where everything lines up . . . good business,